THE INTERNATIONAL FINANCIAL ENVIRONMENT

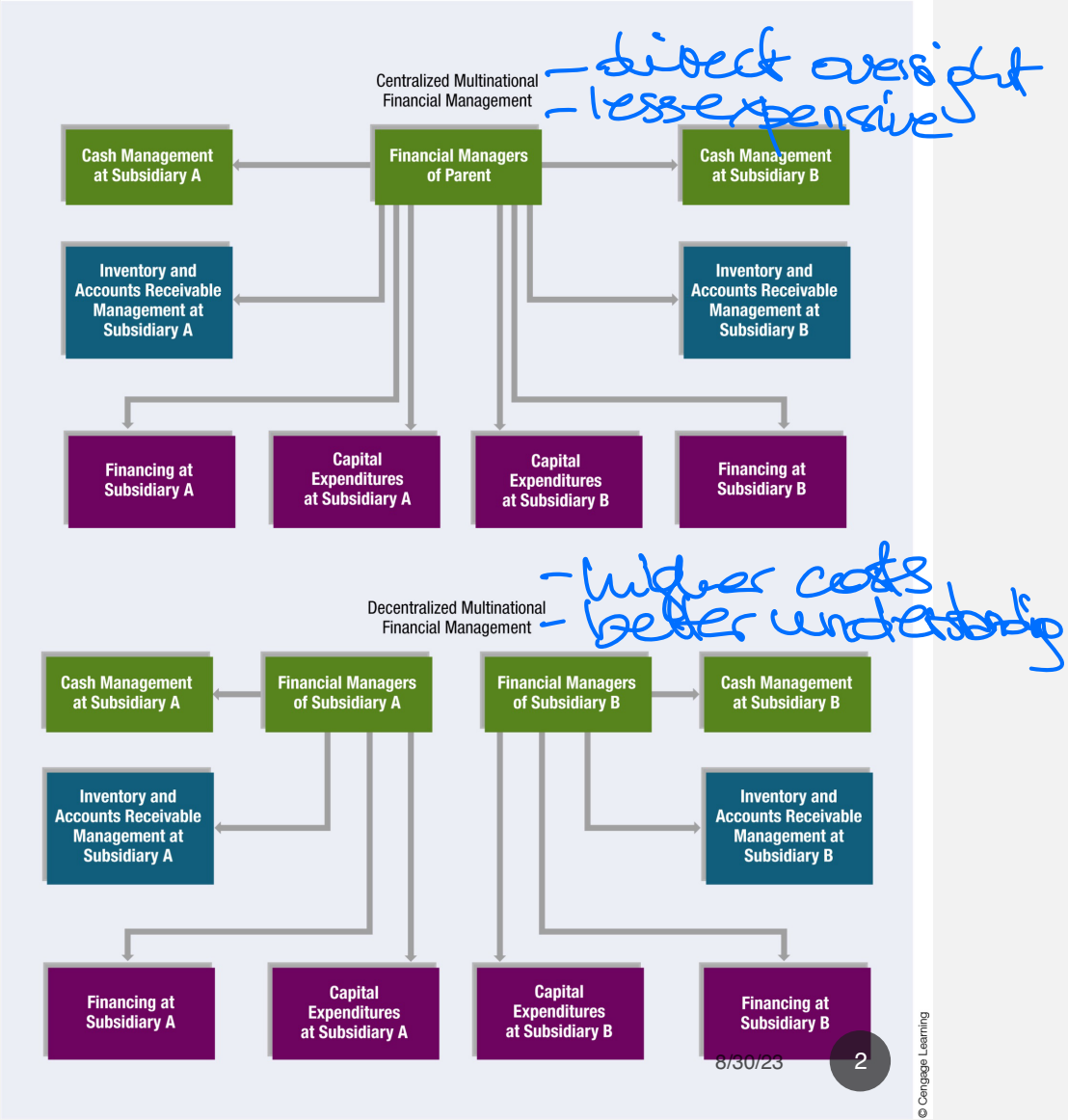
- Agency Costs
- Why companies pursue business abroad (theories of international business)
- Types of International Businesses
- Valuation models
- Risk factors affecting valuation

Agency Costs => management & SH goals don't align

Management & Shareholder Goal -> maximize value
-> maximize stock price

Market Capitalization = Price per share * # of shares outstanding

CENTRALIZED VS DECENTRALIZED MNC'S

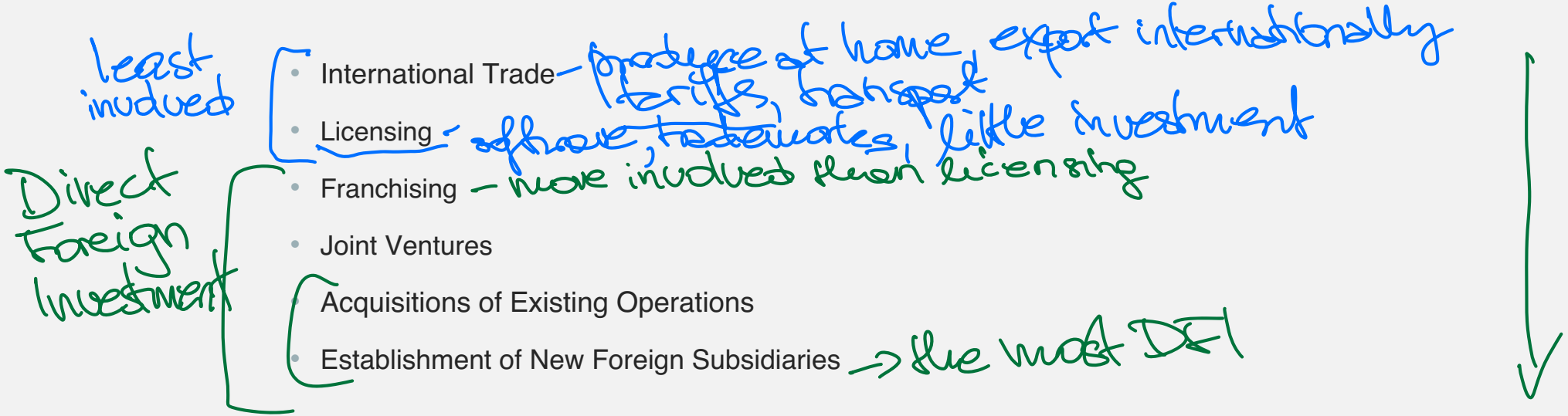


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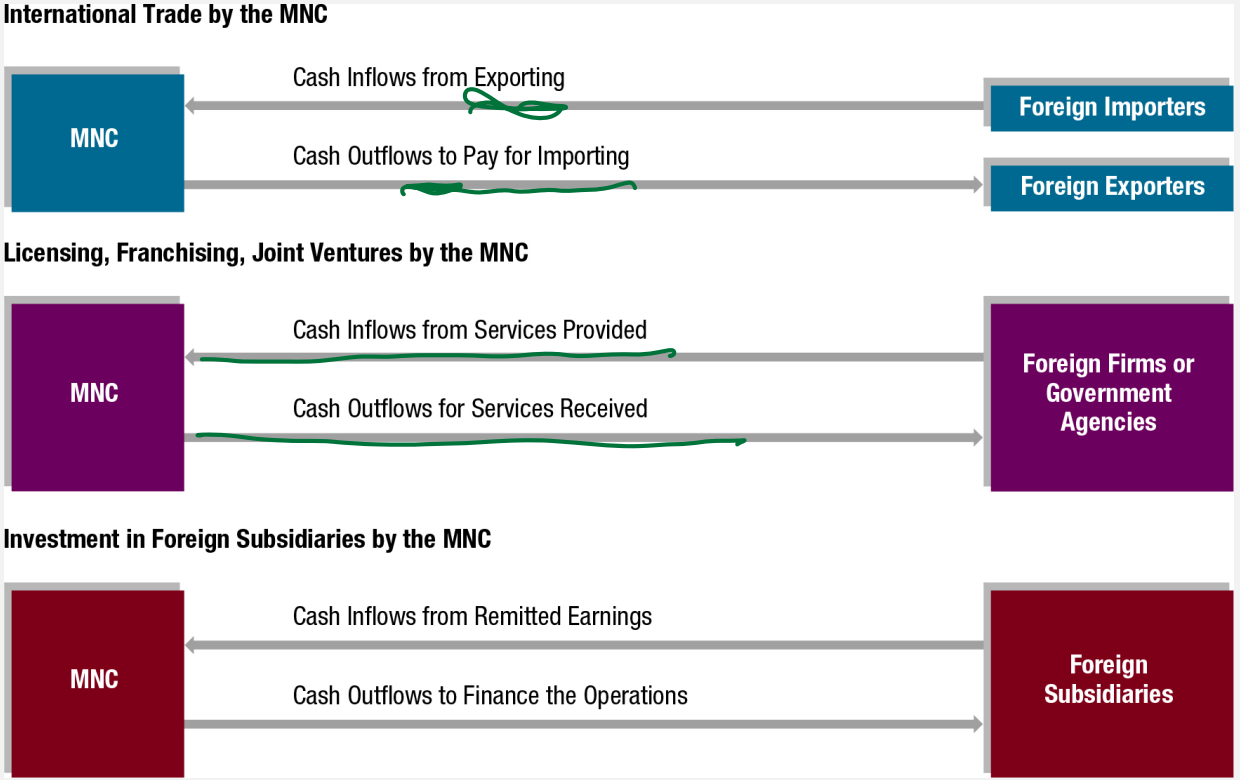
KEY THEORIES BEHIND INTERNATIONAL BUSINESS

- **Theory of Competitive Advantage**: Specialization increases production efficiency.
- **Imperfect Markets Theory**: Factors of production are somewhat immobile, providing incentive to seek out foreign opportunities. Think Nike sourcing in one country, producing in another,.
- **Product Cycle Theory:** As a firm matures, it recognizes opportunities outside its domestic market.

HOW FIRMS CONDUCT INTERNATIONAL BUSINESS



CASH FLOWS BY VENTURE TYPE



MULTINATIONAL VALUATION MODEL

Uncertain foreign currency cash flows due to uncertain foreign economic and political conditions

Uncertainty surrounding future exchange rates

$$V = \sum_{t=1}^{n} \left\{ \frac{\sum_{j=1}^{m} [E(CF_{j,t}) \times E(S_{j,t})]}{(1+k)^t} \right\}$$

j - subsidiary

spot exchange rate

Uncertainty Surrounding an MNC's Valuation:

Exposure to Foreign Economies: If $[CF_{j,t} < E(CF_{j,t})] \rightarrow V\downarrow$

Exposure to Political Risk: If $[CF_{j,t} < E(CF_{j,t})] \rightarrow V\downarrow$

Exposure to Exchange Rate Risk: If $[S_{j,t} < E(S_{j,t})] \rightarrow V\downarrow$

HOW UNCERTAINTY AFFECTS THE MNC'S COST OF CAPITAL

- **Exposure to international economic conditions** — If economic conditions in a foreign country weaken, purchase of products decline and MNC sales in that country may be lower than expected.
- **Exposure to international political risk** — A foreign government may increase taxes or impose barriers on the MNC's subsidiary.
- **Exposure to exchange rate risk** — If foreign currencies related to the MNC subsidiary weaken against the U.S. dollar, the MNC will receive a lower amount of dollar cash flows than was expected.

- All of the above are synonymous with uncertainty. Higher level of uncertainty increases the return on investment required by investors and the MNC's valuation decreases.

Apple's expected cash flows from sales in EU

1. Calculate expected remittance in local FX

t	Remittance	E(St)	RUSD
1	€600	$1.20/€	$720
2	€800	$1.15/€	$920
3	€900	$1.10/€	$990

r = 5%

stronger Euro → stronger Dollar

What is the value of the European subsidiary?

$Remittance_1 = €600 million \cdot \$1.20/€$

$= 600 \cdot \$1.2 = \$720$

Direct Quote (in local currency) $1.20/€

Indirect quote (inverse & direct) $= \frac{1}{\$1.20/€} =$

$\frac{€1}{\$1.20} = €0.833/\$$

Calculate year 1 remittance to USD based on indirect quote $\$/€ = €0.833/\$$

€600 million €0.833/$

€600

Direct Quote

€600 · $1.20/€

= $720m

Indirect Quote

€600m €0.833/$

€600m / €0.833/$

= $720m

R_2 = €800 · $1.15/€ = $920

R_3 = €900 · $1.10/€ = $990

2. Calculate present value of cash flows and sum them up

-> value of subsidiary in local currency

$$\sum_{j=1}^{n} \frac{E(R_{jt}) \cdot E(CF_{jt}) \cdot E(S)}{(1+r)^t}$$

expected remittances in local currency at time t

$$= \frac{E(R_1)}{(1+r)^1} + \frac{E(R_2)}{(1+r)^2} + \frac{E(R_3)}{(1+r)^3} =$$

$$= \frac{720}{(1+5\%)^1} + \frac{920}{(1+5\%)^2} + \frac{990}{(1+5\%)^3} =$$

$$= 685.71 + 834.47 + 855.2 = \$2,375.38m$$

$$\approx 2.38 \text{ billion}$$

Foreign Exchange Risk

→ weakening local currency is going to increase remittances and thus value of the company

→ Political Risk

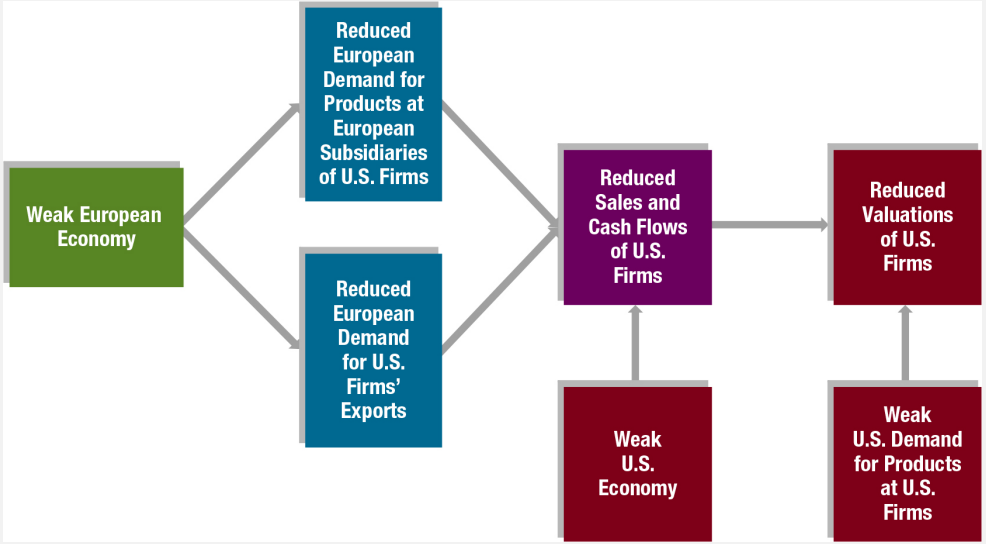
→ if high political risk, the value of your subsidiary will decrease

→ Economic risk - exposure to economic conditions outside of your country

WHY MAKING IPHONE'S IN AMERICA IS SO HARD, WSJ VIDEO

- https://www.wsj.com/video/why-making-apple-iphones-in-america-is-so-hard/9B724957-5B4A-43AA-B6B8-E4ABFE62B1F5.html?mod=searchresults&page=1&pos=6

INTERNATIONAL ECONOMIC CONDITIONS



Example 2: Japan and South Korea indirectly affected by the U.S. China Trade War